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Ermi E-learning Exit exam Tutorial first model exam

1. On January 1, 20x1, ABC Co. acquired 75% interest in XYZ, Inc. for ₱2,500,000 cash. ABC Co. incurred transaction costs of ₱250,000 for legal, accounting and consultancy fees in negotiating the business combination. ABC Co. elected to measure NCI at the NCI's *proportionate share* in XYZ, Inc.'s identifiable net assets. The carrying amounts and fair values of XYZ's assets and liabilities at the acquisition date were as follows:

<i>Assets</i>	<i>Carrying amounts</i>	<i>Fair values</i>
Cash in bank	25,000	25,000
Accounts receivable	425,000	300,000
Inventory	1,300,000	875,000
Equipment – net	2,500,000	2,750,000
Goodwill	250,000	50,000
Total assets	4,500,000	4,000,000
<i>Liabilities</i>		
Payables	1,000,000	1,000,000

+ How much is the goodwill (gain on a bargain purchase)?

- A) 140,000
 B) 278,500
 C) 287,500
 D) 264,500

2) The _____ involves the distribution to investors of newly issued securities by central governments, its agencies, EW- municipal governments, and corporations

- A) OTC market
 B) secondary market
 C) primary market
 D) stock market

3) Production of Product B has been budgeted at 200,000 units for November. One unit of Product B requires 2 kg of raw material. The projected beginning and ending materials inventory for November are:

Beg. Inventory = 2,000 kg

End. Inventory = 10,000 kg

How many kg of materials should be purchased during November?

- A) 408,000
 B) 410,000
 C) 380,000
 D) None

4) Which of the following does not represent a primary motivation for business combinations?

- A) Combinations as a vehicle for achieving rapid growth and competitiveness.
 B) Cost savings through elimination of duplicate facilities and staff.
 C) Quick entry for new and existing products into markets.
 D) Larger firms being less likely to fail.

5) The acquisition method of accounting for a business combination records the identifiable net assets of the acquired company at their fair market value. 2. Harper Corp. has only three assets constituting its business:

	<i>Carrying amount</i>	<i>Fair value</i>
Inventory	\$165,000	\$225,000
Land	1,050,000	900,000
Buildings	1,050,000	1,350,000

Kandon Inc. purchases Harper's assets by issuing 100,000 common shares with a market value of \$30 per share. What is the amount of goodwill from this business combination?

- A) \$525,000
 B) 255000
 C) 625000
 D) 0

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6) In 2021, Cupid Construction Co. (CCC) began work on a two-year fixed price contract project. CCC recognizes revenue over time according to percentage of completion for this contract, and provides the following information (dollars in millions):

Accounts receivable, 12/31/2021 (from construction progress billings)	\$ 37.5
Actual construction costs incurred in 2021	\$ 135
Cash collected on project during 2021	\$ 105
Construction in progress, 12/31/2021	\$ 207
Estimated percentage of completion during 2021	60%

What are CCC's estimated remaining construction costs on the project at the end of 2021?

- A) \$90 million. 
B) \$135 million.
C) \$225 million.
D) \$0.

7) Which of the following will cause an increase in net working capital, other things held constant?

- A). A cash dividend is declared and paid.
B). Merchandise is sold at a profit, but the sale is on credit.
C). Long-term bonds are retired with the proceeds of a preferred stock issue.
D). Missing inventory is written off against retained earnings.
E). Cash is used to buy marketable securities

8) Brothers Breads has the following data. What is the firm's cash conversion cycle?

Inventory conversion period = 50 days

Average collection period = 17 days

Payables deferral period = 25 days

- A). 31 days
B). 34 days
C). 42 days
D). 46 days

9) If the home office of Mobile Company maintains the accounting records for the plant assets of its branch, and the branch acquired equipment for Birr 100,000, the appropriate journal entry for the branch is:

- A). Debit the Home Office Current account and credit a plant asset account for Birr 100,000
B). Debit the Home Office Current account and credit Cash for Birr 100,000
C). Credit the Home Office Current account and Debit Cash for Birr 100,000
D) None

10) The Western Branch of Rivas Company reported a net income of 60,000 for the month of January. The appropriate journal entry (explanation omitted) for the home office of Rivas Company is:

- | | |
|--|---|
| A). Income Summary 60,000
Income: Western Branch 60,000 | C) Investment in Western Branch 60,000
Income: Western Branch 60,000 |
| B). Income: Western Branch 60,000
Income Summary 60,000 | D). Investment in Western Branch 60,000
Income Summary 60,000 |

11) Which is a characteristic of a joint arrangement?

- A). The parties are bound by a contractual arrangement
B). The contractual arrangement gives two or more parties joint control over the arrangement
C). The parties are bound by a contractual arrangement which gives two or more parties absolute control over the arrangement
D). The parties are bound by a contractual arrangement which gives two or more parties joint control over the arrangement

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12) Join control is defined as

- A). The power to govern the financial and operating policies of another entity so as to obtain benefits from its activities
- B). The power to participate in the financial and operating policy decisions of another entity.
- C). The contractually agree sharing of control of an arrangement which exists only when decisions about relevant activities require majority consent of the parties sharing control
- D). The contractually agree sharing of control of an arrangement which exists only when decisions about relevant activities require unanimous consent of the parties sharing control.**

13) The contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

- A) significant influence B) control C) **joint control** D) contractual control

14) Uptown Markets is financed with 45 percent debt and 55 percent equity. This mixture of debt and equity is referred to as the firm's:

- A. asset allocation. B) risk structure. C) capital budget **D) capital structure.**

15) The production department should generally be responsible for materials price variances that resulted from:

- A) purchases made in uneconomical lot-sizes. **B) rush orders arising from poor scheduling.**
C) purchase of the wrong grade of materials. D) changes in the market prices of raw materials.

16) Financial markets have the basic function of

- A) bringing together people with funds to lend and people who want to borrow funds.**
B) assuring that the swings in the business cycle are less pronounced.
C) assuring that governments need never resort to printing money.
D) both A and B of the above.
E) both B and C of the above

17) An unfavorable materials quantity variance indicates that:

- A) actual usage of material exceeds the standard material allowed for output.**
B) standard material allowed for output exceeds the actual usage of material.
C) actual material price exceeds standard price.
D) standard material price exceeds actual price.

18) Magno Cereal Corporation uses a standard cost system for its "crunchy pickle" cereal. The materials standard for each batch of cereal produced is 1.4 pounds of pickles at a standard cost of \$3.00 per pound. During the month of August, Magno purchased 78,000 pounds of pickles at a total cost of \$253,500. Magno used all of these pickles to produce 60,000 batches of cereal. What is Magno's materials quantity variance for August?

- A) \$1,500 Unfavorable C) \$19,500 Unfavorable
B) \$18,000 Favorable D) \$54,000 Unfavorable

19) An acquirer should at the acquisition date recognize goodwill acquired in a business combination as an asset. Goodwill should be accounted for as follows:

- (A) Recognize as an intangible asset and amortize over its useful life.
(B) Write off against retained earnings.
(C) Recognize as an intangible asset and impairment test when a trigger event occurs.
(D) Recognize as an asset and annually impairment test

20) For which of the following errors should the appropriate amount be added to the balance per bank on a bank reconciliation?

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- A). Check for \$63 recorded by the company as \$36. **B). Deposit of \$600 recorded by the bank as \$60.**
C) returned \$300 check recorded by the bank as \$30. D) Check for \$75 recorded by the company as \$57.
- 21) When the allowance method of accounting for uncollectible accounts is used, Bad Debt Expense is recorded
A). in the year after the credit sale is made. **B). in the same year as the credit sale.**
C). as each credit sale is made. D). when an account is written off as uncollectible.
- 22) Which statement best describes impairment loss?
A). The removal of an asset from the statement of financial position.
B). The amount by which carrying amount of an asset exceeds the recoverable amount.
C). The systematic allocation of cost of an asset less residual value over the useful life.
D). The amount by which the recoverable amount of an asset exceeds the carrying amount
- 23) Which of the following methods of allocating support department costs is both simple and intuitive?
A. step-down method B) hybrid method C) reciprocal method **D) direct allocation method**
- 24) In 'make or buy' decision, it is profitable to buy from outside only when the supplier's price is below the firm's own _____.
(A) Fixed Cost **(B) Variable Cost** (C) Total Cost (D) Prime Cost
- 25) Costs that are taken directly to the income statement as expenses in the period in which they are incurred are:
A) Product costs B) Direct costs C) Indirect costs **D) Period costs**
- 26) Which of the following statements is true with regards to an investment property?
A. An investment property generates cash flows largely independently of the other assets held by an entity.
B. The value in use of investment property is significantly higher than of owner-occupied property.
C. An investment property unlike owner-occupied property shall not be depreciated over its useful life.
D. An investment property unlike owner-occupied property shall always be measured at its historical cost.
- 27) A variance is ...
A. the difference between actual fixed cost per unit and standard variable cost per unit
B. the standard units of inputs for one output
C. the difference between an actual result and a budgeted performance
D. the different between actual variable cost per unit and standard fixed cost per unit
- 28) A favorable variance indicates that
A) budgeted costs are less than actual costs
B) actual revenues exceed budgeted revenues
C) actual operating income is less than a budgeted amount
D) budgeted contribution margin is more than the actual amount
- 29) Nikko Corp.'s total common equity at the end of last year was \$305,000 and its net income after taxes was \$60,000. What was its ROE?
A) 19.67% C) 21.4%
B) 18.5% D) None
- 30) Once the break-even point is reached, which of the following statements is true?
A). the total contribution margin changes from negative to positive.
B). net income will increase by the unit contribution margin for each additional item sold.
C). variable expenses will remain constant in total.
D). the contribution margin ratio begins to decrease.

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31) Equipment was purchased for \$19400. It is estimated that the equipment will have a \$3000 residual value at the end of its 5-year useful life. Using the straight-line method, annual depreciation expense will be

- A. \$4480. **B) \$3280.** C) \$3880. D) \$4850.

32) What is the primary purpose of financial accounting?

- A). Determine the amount of tax liability owed to the government.
B). Communicate business transactions to internal management.
C). Measure business transactions and communicate those measures to external users to make decisions.
D). Measure the profitability of the company in order to assist employees with making decisions.

32) Johnson had the following final balances after the first year of operations: Assets, \$26,000; stockholders' equity, \$10,000; dividends, \$2,000; and net income, \$6,000. What is the amount of Johnson's liabilities?

- A). \$36,000. B). \$20,000. **C. \$16,000.** D). \$10,000.

34) Transactions related to the primary business activities of the company, such as selling goods and services to customers, are referred to as:

- A). Investing activities. B). Management activities. **C). Operating activities.** D) Financing activities.

35) In which of the following cases would consolidation be inappropriate?

- A) Subsidiary is foreign.
B) Subsidiary's operations are dissimilar from those of the parent.
C) The subsidiary is in bankruptcy.
D) The parent owns 90 percent of the subsidiary's common stock, but all of the subsidiary's nonvoting preferred stock is held by a single investor.

36) Which of the following is not true concerning a conceptual framework in accounting:

- A) it should be a basis for standard-setting
B) it should allow practical problems to be solved more quickly by reference to it
C) it should be based on fundamental truths that are derived from the laws of nature
D) all of these answer choices are true

37) The cost to produce Part A was \$20 per unit in 2013 and in 2014 it has increased to \$22 per unit. In 2014, Supplier ABC has offered to supply Part A for \$18 per unit. For the make-or-buy decision:

- A) incremental revenues are \$4 per unit B) incremental costs are \$2 per unit
C) net relevant costs are \$2 per unit **D) differential costs are \$4 per unit**

38) Which of the following would NOT be considered in a make-or-buy decision?

- A) fixed costs that will no longer be incurred B) variable costs of production
C) potential rental income from space occupied by the production area **D) unchanged supervisory costs**

39) When materials are placed into production and the cost of the materials can be directly traced to products:

- A) Debit Materials Inventory **B) Debit Work-in-Process Inventory**
C) Debit Manufacturing Overhead D) Credit Manufacturing Overhead

40) Which of the following statements is correct?

- A. Process costing assumes that each unit produced is relatively uniform.**
B. Process costing maintains a detailed record of the cost of each unit produced.
C. Process costing provides as much information as job costing.
D. The difference between job costing and process costing is in the basic concept

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41) ABC Corp. uses a process costing system. Beginning inventory for September consisted of 1,300 units that were 40% completed. 13,000 units were started during September. On September 30, the inventory consisted of 650 units that were 70% completed. How many units were completed during the period?

- A) 14,300 B) 14,950 C) 12,350 **D) 13,650**

42) A machine was purchased at a cost of \$70,000. The equipment had an estimated useful life of 8 years and had a residual value of \$6,000. Assuming the equipment was sold at the end of year 6 for \$14,000, determine the gain or loss on the sale of the equipment. (Assume the straight-line depreciation method.)

- A) Loss 8,000** B) Gain 8000 C) 0 D) Loss 16,000

43) Your firm is considering investing in one of two mutually exclusive projects.

Project A requires an initial outlay of \$2,800 with expected future cash flows of \$1,000 per year for the next three years.

Project B requires an initial outlay of \$5,500 with expected future cash flows of \$3,000 per year for the next two years.

The appropriate discount rate for your firm is 12% and it is not subject to capital rationing.

Assuming both projects can be replaced with a similar investment at the end of their respective lives, compute the NPV of the two chain cycle for Project A and three chain cycle for Project B.

- A) (681.58) and (1,045.69)** B) 681.58 And 1045.69
C) 618.58 and 1054.69 D) (618.8) and 1054.69

44) If beginning work in process is 2,000 units, ending work in process is 1,000 units, and the units accounted for equals 5,000 units, what are the units completed and transferred out?

- A) 7,000 B) 6,000 **C) 4,000** D) 2,000

45) S Company had the following department information about physical units and percentage of completion:

	Physical Units
Work in process, May 1 (60%)	36,000
Completed and transferred out	90,000
Work in process, May 31 (40%)	30,000

If materials are 100% complete at the beginning of the production process, what is the total number of equivalent units for materials during May?

- A) 66,000 **B) 120,000** C) 156,000 D) 102,000

46) Powers Corporation received a cash advance of \$500 from a customer. As a result of this event,

- A). **assets increased by \$500 (Debited).** B). equity increased by \$500 (Credited).
C. liabilities decreased by \$500 (Debited). D. Both assets and equity increased by \$500

47) The debit and the credit columns of a trial balance each total \$80,000. Which error may still exist?

- A. A journal entry contains a correct debit amount and an incorrect credit amount.
B. A debit entry to the Cash account in the journal is incorrectly posted as a credit to the Cash account in the ledger.
C. The credit portion of a journal entry is posted to the ledger twice.
D. A cash payment on account of \$450 is incorrectly recorded as a cash payment on account of \$540.

48) Which one of the following statements applies to diversifiable risk?

- A) This risk is related to expected returns on well-diversified portfolios.
B) Investors receive a risk premium as compensation for accepting this risk.
C) It is a type of risk that applies to all securities.

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- D) It can be eliminated through portfolio diversification.**
- 49) Which one of the following is part of the transaction that is recorded when an account is written off under the allowance method?
(A) Accounts Receivable account is debited. **(B) Allowance for Doubtful Accounts is debited.**
(C) Loss on Accounts Receivable account is debited. (D) Bad Debts Expense account is debited.
- 50) On January 1, 2020, Bumper Corp. acquires a customer list for \$400,000. Bumper estimates that this customer list will generate value for at least 5 years. At the end of 3 years, Bumper plans to sell the customer list to another company for \$62,500. On Bumper's income statement for the year ended December 31, 2020, how much amortization expense should it report?
A) \$67,500 B) \$80,000 **C) 112,500** D) \$133,333
- 51) Samuel and Darci are partners. The partnership capital for Samuel is \$50,000 and for Darci is \$60,000. Josh is admitted as a new partner by investing \$50,000 cash. Josh is given a 20% interest in return for his investment. The amount of the bonus to the old partners is
A. \$0 B. \$18,000 C. \$8,000 D. \$10,000
- 52) Tomas and Sara are partners who share income in the ratio of 3:1. Their capital balances are \$80,000 and \$120,000 respectively. net come is \$30,000. What is Sara's capital balance after closing Income Summary to Capital?
A. \$102,500 B. \$120,000 C. \$112,500 **D. \$127,500**
- 53) X and Y have original investments of \$50,000 and \$100,000 respectively in a partnership. The articles of partnership include the following provisions regarding the division of net income: interest on original investment at 15%, salary allowances of \$22,000 and \$20,000 respectively, and the remainder equally. How much of the net income of \$90,000 is allocated to X?
A. \$30,250 B. \$47,750 C. \$45,000 **D. \$42,250**
- 54) According to IFRS 11, it is a separately identifiable financial structure, including separate legal entities or entities recognized by statute, regardless of whether those entities have a legal personality.
A) separate vehicle B) special purpose vehicle C) special purpose entity D) public utility vehicle
- 55) The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is:
A). outstanding checks. B). deposit in transit. C). a bank error. **D). bank service charges.**
- 56) Which one of the following is not An investment banker performs three basic functions:
A) underwriting, B) distributing, C) advising. **D) Lending**
- 57) If an oil drilling company were to purchase one of the companies listed below, which purchase would be called a vertical takeover?
A. An oil refinery company B. A rival oil drilling company C. A travel company D. A finance company
- 58) The tax rate increases as the tax base income increase under
A. Regressive tax system B. Proportional tax system C. **Progressive tax system** D. Digressive tax system
- 59) Public finance has to do with all of the following activities of the government except
A) Stabilization activities B). Allocation activities
C). Competition with private sector D). Distribution activities
- 60) Which of the following is not true about VAT in Ethiopia?
A). VAT is collected on business transactions and imports.
B). VAT is a tax on consumer expenditure.
C). Educational services provided by educational institutions are not exempted from VAT
D). Rendering of religious organizations or church services are exempted from VAT

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- 61) Which of the following is NOT a qualitative characteristic of general purpose financial statements?
A. Faithful representation B. **Materiality** C. Comparability D. Relevance
- 62) A government may impose tax on its citizens for all the following reasons, EXCEPT to
A. Raise revenue for development B. Engender economic stability
C. Redistribute wealth D. **Punish rich people in the community**
- 63) Alt Corp. issues 5,000 shares of \$10 par value common stock at \$14 per share. When the transaction is recorded, credits are made to:
A.) Common Stock \$50,000 and Paid-in Capital in Excess of Stated Value \$20,000.
B.) Common Stock \$70,000.
C.) **Common Stock \$50,000 and Paid-in Capital in Excess of Par Value \$20,000.**
D.) Common Stock \$50,000 and Retained Earnings \$20,000
- 64) The board of directors of Yancey Company declared a cash dividend of \$1.50 per share on 42,000 shares of common stock on July 15, 20X1. The dividend is to be paid on August 15, 20X1. The correct entry to be recorded on August 15, 20X1, would be
A. **Dividends Payable 63,000**
Cash 63,000
B. Cash Dividends 63,000
Cash 63,000
C. Cash 63,000
Paid-in Capital 63,000
D. Dividends Payable 63,000
Paid-in Capital 63,000
- 65) Outstanding stock of the Bush Corporation included 40,000 shares of \$5 par common stock and 20,000 shares of 5%, \$10 par cumulative preferred stock. In 20X1, Bush did not declare or pay any dividends. In 20X2, Bush declared and paid dividends of \$24,000. How much of the 20X2 dividend was distributed to preferred shareholders?
A. \$14,000. B. \$18,000. C. \$10,000. D. **\$20,000**
- 66) In a sell or process further decision, which of the following costs are relevant?
I. A variable production cost incurred after split-off
II. A fixed production cost incurred prior to split-off
A. **Only I** B. Only II C. Both I and II D. Neither I or II
- 67) Hoppy Corp compares monthly operating results to a static budget prepared at the beginning of the month. When the actual level of activity is less than budgeted, which of the following would be true?
A. **Variable costs would show favorable variance** B. Variable costs would show unfavorable variance
C. Fixed costs would show favorable variance D. Fixed costs would show unfavorable variance
- 68) Paulson Company has only 30,000 hours of machine time each month to manufacture its two products. Product X has a contribution margin of \$60, and Product Y has a contribution margin of \$40. Product X requires 6 hours of machine time, and Product Y requires 4 hours of machine time.
If Paulson Company wants to dedicate 90 percent of its machine time to the product that will provide the most income, the company will have a total contribution margin of
A). \$250,000. B). **\$240,000.** C). \$210,000. D). None
- 85) Aster is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 6,000. During Tir 2015 she worked on Weekends for 10 hours. She has a position allowance of Birr 2000.

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Aster is a member of the saving and credit association of the organization in which she works and decided to save 15% of her salary. She is expected to work 160 hours per month and she worked accordingly. What is the amount of overtime related to Aster's payment?

- A) Birr 750 B) Birr 450 C) Birr 420 D) Birr 2990

69) Aster is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 6,000. During Tir 2015 she worked on Weekends for 10 hours. She has a position allowance of Birr 2000.

Aster is a member of the saving and credit association of the organization in which she works and decided to save 15% of her salary. She is expected to work 160 hours per month and she worked accordingly. What is the amount of overtime related to Aster's payment?

- A) Birr 1060 B) Birr 1450 C) Birr 4120 D) Birr 2990

70) Mr.Alemu earns a basic salary of Birr 10,500, transportation allowance of 500, position allowance of 2,000. What will be the employment tax and net pay for Mr.Alemu (No pension contribution)

- A). 2875 and 10125 B). 2075 and 9625 C). 3050 and 10358 D). 2511 and 9740

71) Good are purchased at VAT inclusive price of Birr 200,150. The amount of input VAT on this transaction

- A). Birr 26107 B). Birr 17043 C). Birr 20170 D). Birr 2617

72) A company purchased land for its natural resources at a cost of \$1,640,000. It expects to mine 2,350,000 tons of ore from this land. The residual value of the land is estimated to be \$460,000.

What is the amount of depletion per ton of ore?

- A). \$1.119 B). \$0.894 C). \$0.502 D). \$0.698

73) ABC Company granted 10,000 share options to each of its five directors on January 1, 2015. The options vest on Dec 31, 2018. The fair value of each option on Dec 31, 2018 is Birr50 and it is anticipated that all of the share options will vest on Dec 31, 2018. What amount should be reported as increase in expense and equity for the year ended December 31, 2015?

- A) 750,000 B) 500,000 C) 625,000 D) 125,000

74) On January 1, 2015, Morey Company granted Dean, the president, 20,000 appreciation rights for past services. These rights are exercisable immediately and expire on January 1, 2017. On exercise, Dean is entitled to receive cash for the excess of the share market price on the exercise date over the market price on the grant date. Dean did not exercise any of the rights during 2015.

The market price on Morey's share was birr 30 on January 1, 2015 and birr 45 on December 31, 2015.

As a result of the share appreciation rights, what amount should be recognized as compensation expense for 2015?

- A). 0 B). 100,000 C). 300,000 D). 600,000

75) You can borrow \$5000 to finance a new business venture. This new venture will generate annual earnings of \$251. The maximum interest rate that you would pay on the borrowed funds and still increase your income is

- A) 25%. B) 12.5%. C) 10%. D) 5%.

76) Kaniper Company has the following items at year-end: Cash in bank \$35,000 Petty cash 300 Short-term paper with maturity of 2 months 5,500 Postdated checks 1,400, Kaniper should report cash and cash equivalents of

- A). \$35,000. B). \$35,300. C). \$40,800. D). \$42,200.

77) Lawrence Company has cash in bank of \$25,000, restricted cash in a separate account of \$4,000, and a bank overdraft in an account at another bank of \$2,000. Lawrence should report cash of

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A). \$23,000. B). **\$25,000.** C) \$28,000. D) \$29,000.

78) A firm's inventory turnover (IT) is 5 times on a cost of goods sold (COGS) of \$800,000. If the IT is improved to 8 times while the COGS remains the same, a substantial amount of funds is released from or additionally invested in inventory. In fact,

A) \$160,000 is released. B) \$100,000 is additionally invested.

C) \$60,000 is additionally invested. **D) \$60,000 is released.**

79) Giaconda, Inc. acquires an asset for which it will measure the fair value by discounting future cash flows of the asset. Which of the following terms best describes this fair value measurement approach?

A). Market. B). **Income.** C). Cost. D). Observable inputs.

80) Which is a characteristic of a joint arrangement?

A). The parties are bound by a contractual arrangement

B). The contractual arrangement gives two or more parties joint control over the arrangement

C). The parties are bound by a contractual arrangement which gives two or more parties absolute control over the arrangement

D). The parties are bound by a contractual arrangement which gives two or more parties joint control over the arrangement

81) Quest Co. is a print shop that produces jobs to customer specifications. During January 20X6, Job #3051 was worked on and the following information is available:

Direct material used \$2,500

Direct labor hours worked 15

Machine time used 6H

Direct labor rate per hour \$7

Overhead application rate per hour of machine time \$18

What was the total cost of Job #3051 for January?

A). \$2,713 B). \$2,770 C). \$2,812 D). \$3,052

82) In 2021, Cupid Construction Co. (CCC) began work on a two-year fixed price contract project. CCC recognizes revenue over time according to percentage of completion for this contract, and provides the following information (dollars in millions):

Accounts receivable, 12/31/2021 (from construction progress billings) \$ 37.5

Actual construction costs incurred in 2021 \$ 135

Cash collected on project during 2021 \$ 105

Construction in progress, 12/31/2021 \$ 207

Estimated percentage of completion during 2021 60%

What is the amount of gross profit on the project recognized by CCC during 2021?

A) \$160 million. **B) \$72 million.** C) \$48 million. D) None

83) F Company has forecast purchases on account to be \$210,000 in March, \$270,000 in April, \$320,000 in May, and \$390,000 in June. Seventy percent of purchases are paid for in the month of purchase, the remaining thirty percent are paid in the following month. What are budgeted cash payments for April?

A) \$252,000 B) \$285,000 C) \$159,000 D) \$126,000

84) B Company has forecast production for the next three months as follows: July 5,000 units, August 6,600 units, September 7,500 units. Monthly manufacturing overhead is budgeted to be \$17,000 plus \$5 per unit produced. What is budgeted manufacturing overhead for July?

A) \$24,500 B) \$41,500 **C) \$42,000** D) \$47,000

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85) If the adjusting entry for depreciation is not made,

- A). assets will be understated.
- B). owner's equity will be understated.
- C). net income will be understated.
- D). expenses will be understated.

86) When preparing financial statements, which one shows how much money came in and went out of a company during a given time period?

- A) Balance sheet
- B) Statement of cash flow
- C) Income statement
- D) Statement of retained earnings

87) Hardaway Inc. purchased inventory as follows:

Jan. 10 200 units at \$5.00

Jan. 20 500 units at \$10.00

Jan. 30 800 units at \$15.00

Hardaway Inc. had no beginning inventory and has 500 units on hand as of January 31. Assuming the specific identification method is used and ending inventory consists of 100 units from the Jan. 10 purchase, 300 units from the Jan. 20 purchase, and 100 units from the Jan. 30 purchase, cost of goods sold would be

- A). \$13,000
- B). \$4,000
- C). \$7,500
- D). \$5,000

90) Reeves Company is taking a physical inventory on March 31, the last day of its fiscal year. Which of the following must be included in this inventory count?

- A). Goods in transit to Reeves, FOB destination
- B). Goods that Reeves is holding on consignment for Parker Company
- C). Goods in transit that Reeves has sold to Smith Company, FOB shipping point
- D). Goods that Reeves is holding in inventory on March 31 for which the related Accounts Payable is 15 days past due

91) The appropriate journal entry (explanation omitted) for the home office to recognize the branch's expenditure of \$1,000 for equipment to be carried in the home office accounting records is:

- A). Equipment 1,000
Investment in Branch 1,000
- B). Investment in Branch 1,000
Cash 1,000
- C). Home Office 1,000
Equipment: Branch 1,000
- D). Equipment 1,000
Investment in Branch 1,000

92) The appropriate journal entry (explanation omitted) in the accounting records of the home office to record a \$10,000 cash remittance in transit from the branch at the end of an accounting period is:

- A). Cash 10,000
Cash in Transit 10,000
- B). Cash 10,000
Home Office 10,000
- C). Cash in Transit 10,000
Investment in Branch 10,000
- D). Cash in Transit 10,000
Cash 10,000

93) Clayton Industries is planning its operations for next year. Ronnie Clayton, the CEO, wants you to forecast the firm's additional funds needed (AFN). Data for use in your forecast are shown below. Based on the AFN equation, what is the AFN for the coming year?

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Last year's sales = \$350

Last yr's accounts payable \$40

Sales growth rate = g 30%

Last yr's notes payable \$50

Last year's total assets = \$360

Last yr's accruals \$30

Last year's prof margin = PM 5%

Target payout ratio 60%.

- A). \$67.0 B). \$78.7 C). \$63.9 **D). \$77.9**

94) Holcomb Corporation owns machinery with a book value of \$190,000. The machinery's fair value less costs to sell is \$175,000, and its value-in-use is \$200,000. Holcomb should recognize a loss on impairment of

- A). \$ -0-.** B). \$10,000. C). \$15,000. D). \$25,000.

95) On January 1, 2015, W. Poon Inc. purchased equipment with a cost of \$4,668,000 a useful life of 12 years and no salvage value. The company uses straight-line depreciation. At December 31, 2015, the company determines that impairment indicators are present. The fair value less cost to sell the asset is estimated to be \$4,620,000. The asset's value-in-use is estimated to be \$4,305,000. There is no change in the asset's useful life or salvage value. The 2015 income statement will report Loss on Impairment of

- A). \$0.** B). \$26,000. C). \$48,000. D). \$341,000

96) For 2015, Hoyle Company reports total assets of \$1,100,000, net sales of \$1,250,000, and net income of \$250,000. Hoyle's 2015 asset turnover is

- A). .23 times. B). .25 times. C). 1.14 times. **D). 1.25 times**

97)The rate of return on assets for Hoyle in 2015 is

- A). 20.0%. B). 22.7%. **C). 25.0%.** D). 27.8%.

98) An ownership interest of 15% in another company's voting stock should be accounted for using the:

- A). consolidation method. B). equity method. C). cost method. **D). fair value method.**

99) Which one of the following will result from a stock repurchase?

- A) Increase in the number of shares outstanding
B) Decrease in the earnings per share
C) Decrease in the market price per share
D) Increase in the market value of equity per share
E) Decrease in the P/E ratio

100) In a job-order costing system, indirect labor cost is usually recorded as a debit to:

- A) Manufacturing Overhead **B) Work in process Inventory**
C) completed during the period D) in process during the period.

101) Which of the following items is NOT an assumption of CVP analysis?

A) Total costs can be divided into a fixed component and a component that is variable with respect to the level of output.

B) When graphed, total costs curve upward.

C) The unit-selling price is known and constant.

D) All revenues and costs can be added and compared without taking into account the time value of money.

102) Sherry's Custom Jewelry sells a single product. 700 units were sold resulting in \$7,000 of sales revenue, \$2,800 of variable costs, and \$1,200 of fixed costs. Contribution margin per unit is:

- A) \$4.00 B) \$4.29 **C) \$6.00** D) None of these answers are correct

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103) A credit to Work in Process Inventory represents

- A). work still in process.
- B). raw material put into production.
- C). the application of overhead to production.
- D). the transfer of completed items to Finished Goods Inventory.

104) Agency costs refer to:

- A: the total dividends paid to stockholders over the lifetime of a firm.
- B: the costs that result from default and bankruptcy of a firm.
- C: corporate income subject to double taxation.
- D: the costs of any conflicts of interest between stockholders and management.

105) Which of the following is not a necessary characteristic for an item to be classified as property, plant and equipment?

- A). Have a useful life beyond one year
- B). Subject to depreciation
- C). Not intended for sale in the ordinary course of business
- D). Used in the conduct of business

106) An improvement made to a machine increased its fair value and its production capacity by 25% without extending the machine's useful life. The cost of the improvement should be

- A). Allocated between accumulated depreciation and the machine account.
- B). Expensed.
- C). Capitalized in the machine account.
- D). Debited to accumulated depreciation.

107) The net initial investment for a piece of construction equipment is \$3,000,000. Annual cash inflows are expected to increase by \$500,000 per year. The equipment has an 8 Year useful life. What is the payback period?

- A). 5 years
- B). 8 years
- C). 6.5 years
- D). 6 years

108) Your grandmother is gifting you \$150 a month for four years while you attend college to earn your bachelor's degree. At a 4.8 percent discount rate, what are these payments worth to you on the day you enter college?

- A) 6593.14
- B) 5964.14
- C) 3956.14
- D) 6359.14

109) If revenue was \$50,000, expenses were \$30,000, and the owner's withdrawals were \$10,000, the amount of net income or net loss would be:

- A. \$20,000 net income
- B. \$20,000 net loss.
- C. \$10,000 net loss.
- D. \$10,000 net income.

110) Which one of the following states that a firm's cost of equity capital is a positive linear function of the firm's capital structure?

- A. Static theory of capital structure
- B. M&M Proposition I
- C. M&M Proposition II
- D. Homemade leverage theory

111) Which one of the following statements is the core principle of M&M Proposition I, without taxes?

- A. A firm's cost of equity is directly related to the firm's debt-equity ratio.
- B. A firm's WACC is directly related to the firm's debt-equity ratio.
- C. The interest tax shield increases the value of a firm.
- D. The capital structure of a firm is totally irrelevant.
- E. Levered firms have greater value than unlevered firms.

112) Central Systems, Inc. desires a weighted average cost of capital of 8 percent. The firm has an after-tax cost of debt of 5 percent and a cost of equity of 10 percent. What debt-equity ratio is needed for the firm to achieve its targeted weighted average cost of capital?

- A). .77
- B). .67
- C). .84
- D). .57
- E). .50

113) Suppose an investor wants to have \$10 million to retire 45 years from now. How much would she have to invest today with an annual rate of return equal to 15 percent?

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- A). \$18,561 B). \$17,844 C). \$20,003 D). \$21,345

114) Baker Bakery Company just began business and made the following four inventory purchases in June:

June 1 150 units \$ 1,040

June 10 200 units 1,560

June 15 200 units 1,680

June 28 150 units 1,320

\$5,600

A physical count of merchandise inventory on June 30 reveals that there are 210 units on hand. Using the FIFO periodic inventory method, the amount allocated to ending inventory for June is

- A). \$1,456 B). \$1,508 C). \$1,824 D). \$1,848

116) IAS 41 apply to the following:

- A. Land related to agricultural activity (IAS 16 and IAS 40).
- B. Bearer plants (IAS 16). However, IAS 41 applies to the produce on those bearer plants
- C. Intangible assets related to agricultural activity (IAS 38)
- D. None

117) A gain or loss arising on the initial recognition of a biological asset and from a change in the fair value less cost of disposal of a biological asset shall be included in

- A). A capital reserve within equity
- B). A separate revaluation reserve
- C). Other comprehensive income
- D). The profit or loss for the period

118) Company A has made an offer to purchase all of the outstanding shares of Company B for \$10 per share (the current market value of the shares). In response to Company A's offer, the shareholders of Company B were given rights to purchase additional shares at \$8 per share. Which of the following tactics were employed by Company B to prevent Company A from acquiring control of Company B?

- A. Pac-man defense.
- B. Selling the crown jewels.
- C. Poison Pill.
- D. Reverse-takeover

119) S Company reported net profit for 2022 in the amount of \$400,000. The company's financial statements also included the following:

Increase in accounts receivable \$80,000

Decrease in inventory 60,000

Increase in accounts payable 200,000

Depreciation expense 104,000

Gain on sale of land 148,000

What is net cash provided by operating activities under the indirect method?

- A. \$432,000 B. \$536,000 C. \$580,000 D. \$832,000

120) Using the percentage-of-receivables method for recording bad debt expense, estimated uncollectible accounts are \$45,000. If the balance of the Allowance for Doubtful Accounts is \$6,000 debit before adjustment, what is the balance after adjustment?

- A). \$45,000 B). \$51,000 C). \$39,000 D). \$6,000

121) Dale Inc., a U.S. company, bought machine parts from a German company on March 1, 20X1, for €30,000, when the spot rate for euros was \$0.4895. Dale's year-end was March 31, when the spot rate was \$0.4845. On April 20, 20X1, Dale paid the liability with €30,000 acquired at a rate of \$0.4945. Dale's income statements should report a foreign exchange gain or loss for the years ended March 31, 20X1 and April 20

- A.) \$0 and \$0 B) \$0 and \$150 Loss C.) \$150 and Loss \$0 D.) \$150 and Gain \$300 Loss

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122) Which of the following terms are defined by the statement: "The currency of the primary economic environment in which the entity operates"?

- A) Local currency B) Operational currency
C) Functional currency D) Presentation currency

123) If 1 Canadian dollar can be exchanged for 90 cents of U.S. currency, what fraction should be used to compute the indirect quotation of the exchange rate expressed in Canadian dollars?

- A.) 1/.90 B.) 1.10/1 C.) 1/1.10 D.) 0.90/1

124) Assume that the sales revenue of ABC Share Company is Birr 20,000,000 during Tax Year ended Sene 30, 2014.

Cost of goods sold was Birr 3,000,000 (determined on the basis of the average cost method) and expenses were Birr 1,000,000.

The operating expenses comprises of salary expense of Birr 170,000, store rent expense of Birr 200,000, a 5% depreciation expense on a not fully depreciated Building with a cost of Birr 8,000,000, a penalty of Birr 190,000, an interest expense of Birr 240,000 on Birr 1,000,000 principal amount of loan where the interest rate between National Bank of Ethiopia and Commercial Banks was 15% and a donation of Birr 400,000 to help its sister Company recover from the fire damage on its working infrastructures.

What is the amount of business tax liability of the Share Company?

- A. Birr 1,629,000
B. Birr 1,593,000
C Birr 1,500,000

D. none

125) Refer to the following lease amortization schedule. The five payments are made annually starting with the beginning of the lease. A Birr 2.000 purchase option is reasonably certain to be exercised at the end of the five-year leave. The asset has an expected economic life of eight years

Lease Payment	Cash Payment (in birr)	Effective Interest (in birr)	Decrease in Balance (in birr)	Outstanding Balance (in birr)
				34,600
1	8,000	??	??	26,600
2	8,000	2,660	5,340	21,260
3	8,000	2,126	5,874	15,386
4	8,000	1,539	6,461	8,925
5	8,000	??	??	??
6	2,000	182	1,818	0

What would be the amount of Amortized balance (decreasing) recorded with payment 5?

- A) Birr 2,000 B) Birr 7,107 C) Birr 1,107 D) Birr 893

126) In a bond amortization table for bonds issued at Premium. Which one is incorrect

- A. the interest expense is less than interest payment at the end of each period
B. the interest expense is greater than interest payment at the end of each period
C. the carrying amount the bonds declines eventually to face value
D. the reduction in the discount is less with each successive interest payment
E. All